

Advance Bank reconciliation in D365

Advanced bank reconciliation in Dynamics 365 Finance allows you to import electronic bank statements and automatically reconcile them with bank transactions. Here's a brief overview of the process:

1. Import Bank Statements: Use Electronic Reporting to import bank statements in formats like ISO20022, BAI2, or MT940.
2. Set Up Matching Rules: Define criteria for automatic reconciliation between bank transactions and bank statement transactions.
3. Run Matching Rules: Use the reconciliation worksheet to match transactions automatically or manually.
4. Post Reconciled Statements: Post the reconciled statement and review the general ledger entries.
5. Generate Reconciliation Reports: Generate reports to review the reconciliation process and ensure accuracy

Pre-Request

D365 FnO must link with Power Platform env. Through the LCS, if not and you are facing the below error while open the repository



you have to go to LCS and run the setup for the power platform as shown in the below image

Power Platform Integration Setup

Use a different Power Platform Environment

☐ No

Template

Dynamics 365 standard

I agree by selecting the template 'Dynamics 365 standard' that this Finance and Operations environment will be connected to a Power Platform environment with Dataverse. Platform solutions for Dual-write and Virtual Entities will also be installed but not enabled. Data will not be written via Dual-write to the Power Platform environment by default, but can be configured to do so as part of a later step.

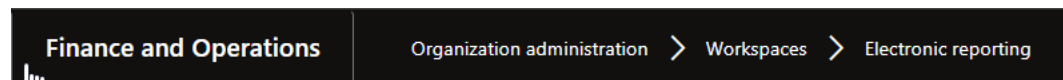
By selecting any template other than the one mentioned above, data will be synchronized via Dual-write functionality by default. The available template options vary based on the licenses for the tenant which owns this LCS project.

☒ By clicking 'Setup' below, I agree that Power Platform Integration will be enabled and the Finance and Operations environment will be unavailable during this operation.

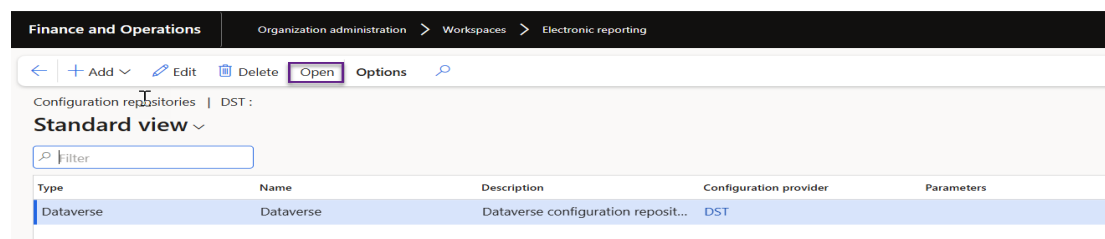
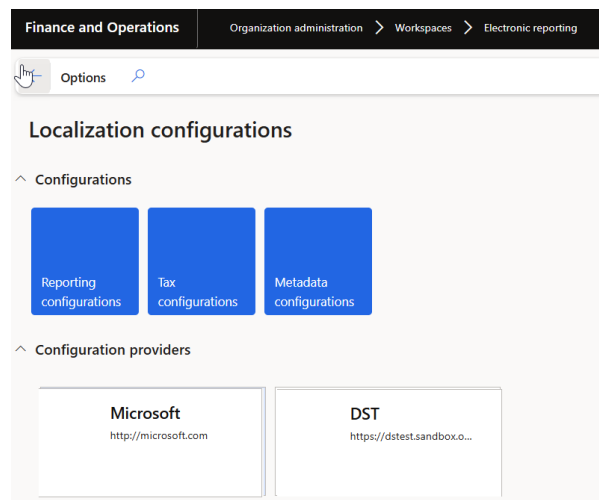
Setup Cancel

Step 1

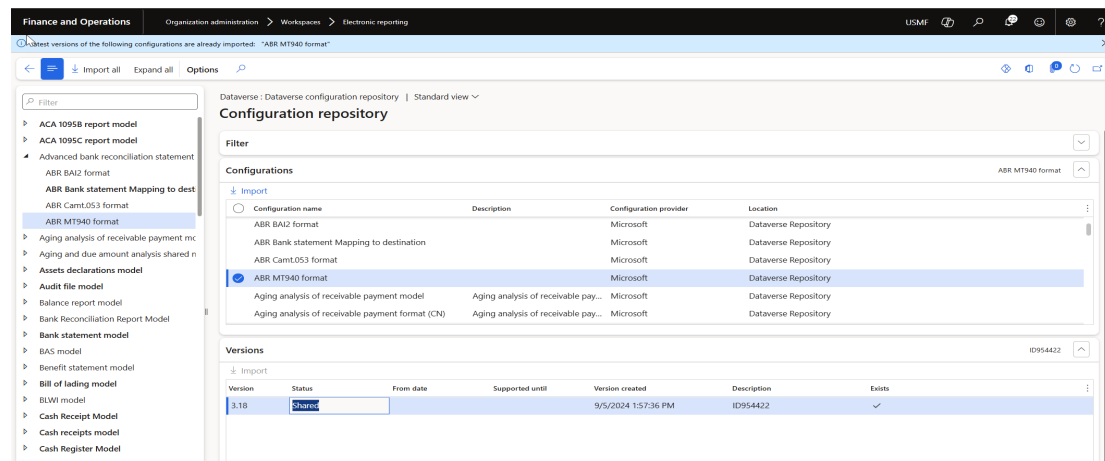
Navigate to Electronic reporting workspaces



Select the configuration provider



Import require model



Filter the Configuration name by searching for 'MT940'. The above list of formats will be displayed.

Select them all and click on Import. The system will import the bank formats in D365 Finance.

Step 2: Bank Statement format

Setup bank statement format in cash and Bank setup

Create a new record and specify the Statement Code, Name and map the Import format which was imported in the previous step

Finance and Operations | Cash and bank management > Setup > Advanced bank reconciliation setup > Bank statement format

Bank statement format

Standard view * v

Filter

Statement...	Name	File type	Generic electronic Import format	Import format configuration
MT940	MT940	MT940	☒	ABR MT940 format ABR MT940 format mapping

Step 3: Create Matching rule

Finance and Operations | Cash and bank management > Setup > Advanced bank reconciliation setup > Reconciliation matching rules

Standard view v

Reconciliation matching rule

Matching rule: AMT/DAT | Name: Amount and Date | Action: Match with bank document | Choose matching type: One to one | Active: No

Step 1: Define the matching rule

Search bank documents: ☐ Yes

BASIC CRITERIA

- ☒ Match amount | Allowed amount difference: 0.00
- ☒ Match date | Allowed date difference: 0
- ☐ Match document number
- ☐ Match transaction type
- ☐ Match payment reference

ADDITIONAL CRITERIA

...

lets make it simple rule
if Amount and date is matching then
mark transaction as reconciled

Activate the Rule

The criteria of matching rule is amount and date with no variation will be allowed in reconciliation once its saved, activate the rule

Step 4: Create Matching rule Set

The screenshot shows the 'Reconciliation matching rule sets' form. The breadcrumb trail is: Finance and Operations > Cash and bank management > Setup > Advanced bank reconciliation setup > Reconciliation matching rule sets. The form has a left sidebar with a filter and a list of rule sets: AMT_DAT (Amount and Date), AMT (Amount), and R01 (Amount And Date). The main area shows the 'Standard view' and the 'Reconciliation matching rule sets' title. Below the title, there are fields for 'Matching rule set' (AMT_DAT) and 'Name' (Amount and Date). A table titled 'Matching rules' shows one rule: AMT/DAT, which is active and named 'Amount and Date'. The table has columns for selection, status, matching rule, and name.

You can add multiple matching rules,

Step-5: Activate ABR in the Bank account master form

The screenshot shows the 'Bank account master form' for 'Rajhi Bank account SAR'. The breadcrumb trail is: Finance and Operations > Cash and bank management > Bank accounts > Bank accounts. The form has a left sidebar with a filter and a list of tabs: Reconcile, Manage payments, Set up, and Options. The 'Reconcile' tab is selected. The form shows the account details: RJH0021499 : Rajhi Bank account SAR. The 'General' tab is active, showing fields for 'Advanced bank reconciliation' (Yes), 'Allowed penny difference' (1.00), 'Bank name in statements', 'Reverse debit credit mark' (No), 'Default matching rule set' (AMT_DAT), and 'Vendor payment journal' (VendPay). The 'Reconciliation' tab is highlighted, showing fields for 'Use bank statements as confirmation' (No), 'Statement format' (MT940), 'Time zone preference' (Auto), 'AUTOMATION' (Reconcile after import: No), 'Customer payment journal' (CustPay), and 'Default report configuration' (Bank Reconciliation Report F...). The 'Reconciliation' tab is highlighted with a red box.

- Turn on “Advanced Bank Reconciliation” and select MT940 in the field Statement format.
- Select Default matching rule set
- Select default report configuration
- Select customer payment journal and vendor payment journal
- Once this is done, we are ready to use Advanced Bank Reconciliation

Step-6: Bank Transactions:

Finance and Operations

Cash and bank management > Bank accounts > Bank accounts

USMF

<

Voucher

Checks

Deposit slips

Original document

Invoices

Print

Bank document list

View summarization details

Options

Bank transactions | RJH0021499 : Rajhi Bank account SAR

Standard view

show

All transactions

OverviewGeneralBank reconciliationFinancial dimensions

Date	Voucher number	Bank transaction type	Payment reference	Deposit slip	Check number	Currency	Amount in tra...	Amount	Amount in rep...	Reconciled	Cleared date
10/3/2024	APPM001265					SAR	-99.00	-24.75	-24.75		10/3/2024
10/2/2024	APPM001264					SAR	-150.00	-37.50	-37.50		10/2/2024
10/1/2024	GNJL002499					SAR	1,000.00	250.00	250.00		

Step-7: Export MT940 bank statement from Bank Portal

```

:20:20241001
:25:RJH0021499/3980021499
:28C:002
:60F:D241001SAR0000.00
:61:2410011002CD150,00INT INT
:86:Reference1
/20BGCFrom: Pay-1
:61:2410021003CD99,00INT INT
:86:Reference2
:62F:C241005SAR249,00
:64:C241005SAR249,00

```

Step-4: Import bank statement

Navigate to:

Finance and Operations > Cash and bank management > Bank statement reconciliation > Bank statements

Select desired bank Account, browse the Bank Statement MT940 text file from your PC and Upload, then click ok

Finance and Operations

Cash and bank management > Bank statement reconciliation > Bank statements

Import statements

Personalize

Page options

Share

Bank statement

Standard view

Status	Statement ID	Bank account	Curre...	From date	To date	Opening ba
Reconciled	002	RAJHI	SAR	6/2/2024 12:00:00 AM	6/30/2024 12:00:00 AM	
Open	000012	RAJHI	SAR	8/22/2024 1:15:51 PM	8/22/2024 1:15:51 PM	
Reconciled	000015	USMF PAYRL	USD	1/1/2024 7:50:11 AM	8/31/2024 7:50:11 AM	
Matched	000016	RYDB	USD	9/1/2024 12:00:00 AM	9/2/2024 10:29:25 AM	

Import bank statements

Parameters

IMPORT

Bank account

RJH0021499

Statement format

MT940

Bank statement file import

MT940_OCT.txt

Browse

Upload

Cancel

AUTOMATION OPTIONS

Reconcile after import

No

Run in the background

Alerts

Batch processing

No

Task description

Import bank statements

Batch group

Private

No

Critical Job

No

Monitoring category

Undefined

Start date: 10/31/2024 (12:07:28 pm) (GMT) Coordinated Universal Time

OK

Cancel

Bank statement has been imported.

Select the transactions and click on Validate on top.

After validating then confirmed the transaction,

Now open worksheet from the same screen

Finance and Operations

Cash and bank management > Bank statement reconciliation > Bank statements

Confirming

← New Delete Import statement Print statement Reopen Reconcile in worksheet Options

Personalize

Always open for editing
Personalize this page
Add to workspace

Page options

Security diagnostics
Advanced filter or sort

Record info
Go to

Share

Get a link
Create a custom alert
Manage my alerts

Filter

002
RAJHI
Reconciled

000012
RAJHI
Open

000015
USMF PAYRL
Reconciled

000016
RYDB
Matched

002
RJH0021499
Confirmed

Bank statement | Standard view *
002 Confirmed

Lines Header

Total	Unmatched	Matched	Reconciled
2 lines -249.00 SAR	2 lines -249.00 SAR	0 line 0.00 SAR	0 line 0.00 SAR

Bank statement lines - Total

Booking date	Matching status	Line status	Entry reference	Bank statement transaction code	Debit amount	Credit amount	Document number
10/2/2024 12:00:00 AM	Unmatched	Booked		INT	0.00	150.00	
10/3/2024 12:00:00 AM	Unmatched	Booked		INT	0.00	99.00	

Step-5: Reconcile bank statement

Finance and Operations

Cash and bank management > Bank statement reconciliation > Bank reconciliation

← New Delete Worksheet Mark as reconciled Mark as reconciled in batch Reverse reconciliation Print reconciliation statement Options

Bank reconciliation

Standard view

Show Open Bank account Show user-created only

Overview General Blocking History

Bank account	Reconcile ID	Description	Currency	Cut-off date	Last statement ID	Ending balance	Total amount	Reconciled
RJH0021499	00032	Rajhi Bank account SAR 398002...	SAR	10/31/2024	002	-249.00	-249.00	

Click on “New”

Select the Bank Account, go to Worksheet by clicking “Worksheet” button

Finance and Operations | Cash and bank management > Bank statement reconciliation > Bank reconciliation

00032 : RJH0021499 | Standard view

Bank reconciliation worksheet

Bank account overview

Unmatched transactions | Matched transactions

Unmatched transactions

Selected bank statement transactions (0 line) 0.00 | Correction 0.00 (0 line)

Match | Generate payment journal | Generate voucher

BANK STATEMENT TRANSACTIONS

Open filters	Clear filters	Booking date	Debit	Credit	Bank transaction code
☐		10/2/2024		150.00	INT
☐		10/3/2024		99.00	INT

BANK TRANSACTIONS

Open filters	Clear filters	Date	Debit	Credit
☐		10/1/2024	1,000.00	
☐		10/2/2024		150.00
☐		10/3/2024		99.00

Run bank reconciliation matching rule

Parameters

MATCHING RULE

Matching rule set: **AMT_DAT**

Run in the background

Recurrence: ☐ No

Alerts: ☐ No

Task description: Run bank reconciliation matchi...

Batch group:

Private: ☐ No

Critical Job: ☐ No

Monitoring category: Undefined

Start date: 10/31/2024 (12:34:06 pm) (GMT) Coordinated Universal Time

OK Cancel

Run the Matching rule
Select the Matching rule set and then press Ok

Finance and Operations | Cash and bank management > Bank statement reconciliation > Bank reconciliation

USMF | 10/31/2024 | SAR | 1.00

Matching rule AMT/DAT is executed. 2 statement lines have been matched according to matching rule AMT/DAT.

Save | Run matching rules | Subtotal | Mark as reconciled | Mark as reconciled in batch | Print reconciliation statement | Options

00032 : RJH0021499 | Standard view

Bank reconciliation worksheet

Bank account overview

Unmatched transactions | **Matched transactions**

Matched transactions

Selected matching groups 0 group | 0.00

Unmatch | Unmatch all | Reverse | Journals | Voucher | Accounting | Sales tax

BANK STATEMENT TRANSACTIONS

Mark	Matching ID	Booking date	Debit
☐	1	10/2/2024	
☐	2	10/3/2024	

BANK TRANSACTIONS

Mark	Matching ID	Date	Debit	Credit	Matching type	Matching rule
☐	1	10/2/2024	150.00		Match with bank document	AMT/DAT
☐	2	10/3/2024	99.00		Match with bank document	AMT/DAT

After the running rule, system will transfer all matched transactions into matched transactions tab.

All unmatched transaction you can find in “unmatched” transactions tab

**If there are any transaction which are captured in Bank statement but not recorder in D365 like bank charges, Interest, vendor payment or customer deposit etc. you can directly create Payment voucher for vendor/customer transaction on JV for the interest/Fees charges from the worksheet as shown in below images

Vendor/Customer Payment

Finance and Operations

Cash and bank management > Bank statement reconciliation > Bank reconciliation

Save Run matching rules Subtotal Mark as reconciled Mark as reconciled in batch Print reconciliation statement Options

00033 : RJH0021499 | Standard view

Bank reconciliation worksheet

Bank account overview

Cut-off date10/5/2024CurrencySARAllowed penny difference1.00

Bank statement

Ending balance-249.00

Unmatched-249.00 (2 lines)

Bank transaction

751.00

751.00 (3 lines)

Unmatched transactions

Matched transactions

Unmatched transactions

Selected bank statement transactions

(0 line) 0.00

Correction

Selected bank transaction

(0 line) 0.00

MatchGenerate payment journalGenerate voucher

BANK STATEMENT TRANSACTIONS

Open filtersClear filters

	Booking date	Debit	Credit	Bank transaction code	Document number
☐	10/2/2024		150.00	INT	
☐	10/3/2024		99.00	INT	

BANK TRANSACTIONS

Open filtersClear filters

	Date	
☐	10/1/2024	1.0
☐	10/2/2024	
☐	10/3/2024	

Standard view

Generate payment journal

Payment

Payment type

Customer payment

Vendor payment

Date

Booking date

Description

Reference1 /208GCF...

Bank

Bank transaction type

03

Financial dimensions

Financial tags

Settle transactions

Generate payment

Cancel

Bank fees/Interest

Finance and Operations

Cash and bank management > Bank statement reconciliation > Bank reconciliation

Save Run matching rules Subtotal Mark as reconciled Mark as reconciled in batch Print reconciliation statement Options

00033 : RJH0021499 | Standard view

Bank reconciliation worksheet

Bank account overview

Cut-off date10/5/2024CurrencySARAllowed penny difference1.00

Bank statement

Ending balance-249.00

Unmatched-249.00 (2 lines)

Bank transaction

751.00

751.00 (3 lines)

Unmatched transactions

Matched transactions

Unmatched transactions

Selected bank statement transactions

(0 line) 0.00

Correction

Selected bank transaction

(0 line) 0.00

MatchGenerate payment journalGenerate voucher

BANK STATEMENT TRANSACTIONS

Open filtersClear filters

	Booking date	Debit	Credit	Bank transaction code	Document number
☐	10/2/2024		150.00	INT	
☐	10/3/2024		99.00	INT	

BANK TRANSACTIONS

Open filtersClear filters

	Date	
☐	10/1/2024	1.0
☐	10/2/2024	
☐	10/3/2024	

Standard view

Generate voucher

Statement line

Distribute amountsSales taxView accounting

Statement ID

Booking date

Amount

002

10/2/2024 12:00:00 AM

-150

Financial

Accounting date

10/2/2024

BANK

Bank transaction type

07

TRANSACTION DETAILS

Offset account number

618190

Description

TAX

Sales tax group

Item sales tax group

Financial dimensions line

OKCancel

Once matched all transactions, hit mark as reconciled as shown in below image

Finance and Operations | Cash and bank management > Bank statement reconciliation > Bank reconciliation

Matching rule AMT/DAT is executed. 2 statement lines have been matched according to matching rule AMT/DAT.

Save Run matching rules Subtotal **Mark as reconciled** Mark as reconciled in batch Print reconciliation statement Options

00032 : RJH0021499 | Standard view

Bank reconciliation worksheet

Bank account overview

Cut-off date: 10/31/2024 Currency: SAR Allowed penny difference: 1.00

Matched: -249.00 (2 lines) Difference: -1,000.00

Unmatched transactions Matched transactions

Selected matching groups: 0 group 0.00

Unmatch Unmatch all Reverse Journals Voucher Accounting Sales tax

BANK STATEMENT TRANSACTIONS

Mark	Matching ID	Booking date	Debit
☐	1	10/2/2024	
☐	2	10/3/2024	

BANK TRANSACTIONS

Mark	Matching ID	Date	Debit	Credit	Matching type	Matching rule
☐	1	10/2/2024		150.00	Match with bank document	AMT/DAT
☐	2	10/3/2024		99.00	Match with bank document	AMT/DAT

Do you want to proceed the bank reconciliation now?

Yes No

After that mark as reconciled, go back to bank Reconciliation

Finance and Operations | Cash and bank management > Bank statement reconciliation > Bank reconciliation

Save + New Delete Worksheet Mark as reconciled Mark as reconciled in batch Reverse reconciliation Print reconciliation statement Options

Bank reconciliation

Standard view

Show: Reconciled Bank account: Show user-created only

Overview General Blocking History

Bank account	Reconcile ID	Description	Currency	Cut-off date	Last statement ID	Ending balance	Total amount	Reconciled	Snapshot	In...	Status	Progress
RJH0021499	00032	Rajhi Bank account SAR 39800214	SAR	10/31/2024	002	-249.00	-249.00	☒	☒		Draft	N/A

Stats of the Reconciled marked yes

Go to Bank statement

Finance and Operations | Cash and bank management > Bank statement reconciliation > Bank statements

+ New Delete Import statement Print statement Reopen Reconcile in worksheet Options

Personalize: Always open for editing, Personalize this page, Add to workspace

Page options: Security diagnostics, Record info, Advanced filter or sort, Go to

Share: Get a link, Create a custom alert, Manage my alerts

Bank statement

Standard view

Filter

Status	Statement ID	Bank account	Curre...	From date	To date	Opening balance	Ending balance	Posted
Reconciled	002	RAJHI	SAR	6/2/2024 12:00:00 AM	6/30/2024 12:00:00 AM	0.00	-40,000.00	✓
Open	000012	RAJHI	SAR	8/22/2024 1:15:51 PM	8/22/2024 1:15:51 PM	0.00	0.00	
Reconciled	000015	USMF PAYRL	USD	1/1/2024 7:50:11 AM	8/31/2024 7:50:11 AM	0.00	-13,300.00	
Matched	000016	RYDB	USD	9/1/2024 12:00:00 AM	9/2/2024 10:29:25 AM	0.00	1,760.00	
Reconciled	002	RJH0021499	SAR	10/2/2024 12:00:00 AM	10/5/2024 12:00:00 AM	0.00	-249.00	✓

Status of Posted also marked as “yes”

You can view the transaction also we entered fee while doing the reconciliation

Finance and Operations

Cash and bank management > Bank statement reconciliation > Bank statements

USMF

<

Voucher

Checks

Deposit slips

Original document

Invoices

Print

Bank document list

View summarization details

Options

Bank transactions | RJH0021499 : Rajhi Bank account SAR

Standard view

Show

All transactions

OverviewGeneralBank reconciliationFinancial dimensions

☐	Date	Voucher number	Bank transaction type	Payment reference	Deposit slip	Check number	Currency	Amount in tra...	Amount	Amount in rep...	Reconciled	Cleared date
☐	10/3/2024	APPM001265					SAR	-99.00	-24.75	-24.75	✓	10/3/2024
☒	10/2/2024	6004	07				SAR	-150.00	-37.50	-37.50	✓	10/2/2024
☐	10/2/2024	APPM001264					SAR	-150.00	-37.50	-37.50		
☐	10/1/2024	GNJL002499					SAR	1,000.00	250.00	250.00		

Voucher

Finance and Operations											
Cash and bank management > Bank statement reconciliation > Bank statements											
← View subledger journal Transaction origin Transactions Audit trail Edit voucher Posted sales tax Original document Accounting source explorer Reverse transactions Reversed trac											
Voucher transactions RJH0021499 : 6004											
Standard view											
Overview General											
☐	Journal number	Voucher	Date	↑	Year closed	Ledger account	Account name	Description	Currency		
☐	077359	6004	10/2/2024			110111 001 022	Rajhi Bank Account-SAR	Bank statem...	SAR		
☒	077359	6004	10/2/2024			618190 001 022 007	Bank Fees Expense	Bank statem...	SAR		

That’s it for this blog, hope this will help you to understand end to end reconciliation process.

Thank you